Absa Bank Kenya PLC Financial Statements

The board of directors of Absa Bank Kenya PLC is pleased to announce the audited group results for the year ended 31 December 2019

	Bank		Group	
	December 2018 Shs '000' Audited	December 2019 Shs '000' Audited	December 2018 Shs '000' Audited	December 2019 Shs '000' Audited
I Statement of financial position as at 31 December 2019				
A Assets				
1 Cash balances (both local and foreign)	5,814,633	7,091,076	5,814,633	7,091,076
2 Balances due from Central Bank of Kenya	17,716,625	21,716,447	17,716,625	21,716,446
3 Kenya government and other securities held for dealing purposes	29,708,449	43,774,296	29,708,449	43,774,296
4 Financial assets at fair value through profit and loss	-	-	-	-
5 Investment securities:	-	-	-	-
a) Held to maturity:	-	-	-	-
i) Kenya government securities	-	-	-	-
ii) Other securities	-	-	-	-
b) Fair value through other comprehensive income (FVOCI)	63,120,004	78,785,265	63,230,224	79,221,471
i) Kenya government securities	63,120,004	78,785,265	63,230,224	79,221,471
ii) Other securities	-	-	-	-
6 Deposits and balances due from local banking institutions	1,000,000	2,000,000	1,000,000	2,000,000
7 Deposits and balances due from banking Institutions abroad	5,571,788	1,803,084	5,571,788	1,803,084
8 Tax recoverable	-	292,160	-	424,950
9 Loans and advances to customers (net)	177,353,969	194,894,941	177,353,969	194,894,941
10 Balances due from banking institutions in the group	9,126,358	9,203,788	9,126,358	8,702,992
11 Investment in associates	-	-	-	-
12 Investment in subsidiary companies	362,761	372,761	-	-
13 Investment in joint ventures	-	-	-	-
14 Investment properties	-	-	-	-
15 Property and equipment	2,336,349	2,889,187	2,336,654	2,889,401
16 Prepaid operating rental leases	45,486	35,299	45,486	35,299
17 Intangible assets	830,570	538,836	878,291	617,994
18 Deferred tax	2,156,682	3,097,482	2,177,325	3,123,014
19 Retirement benefit asset	-	-	-	-
20 Other assets	10,219,063	7,614,578	9,879,864	7,686,827
21 Total assets	**325,362,737**	**374,109,200**	**324,839,666**	**373,981,791**
B Liabilities				
22 Balances due to Central Bank of Kenya	-	-	-	-
23 Customers' deposits	207,725,834	238,291,230	207,407,834	237,738,654
24 Deposits and balances due to Banking institutions (local)	4,699,903	3,753,767	4,699,903	3,753,767
25 Deposits and balances due to Banking institutions (foreign)	607,722	329,655	607,722	329,655
26 Other money market deposits	-	-	-	-
27 Borrowed funds	-	-	-	-
28 Balances due to banking institutions in the group	57,034,375	72,688,316	57,034,375	71,977,669
29 Tax payable	96,425	-	25,803	-
30 Dividends payable	-	-		
31 Deferred tax liability	-	-	-	-
32 Retirement benefit liability	-	-	-	-
33 Other liabilities	11,805,035	14,966,818	10,857,085	14,992,630
34 Total liabilities	**281,969,294**	**330,029,786**	**280,632,722**	**328,792,375**
C Shareholders' funds				
35 Paid up / Assigned capital	2,715,768	2,715,768	2,715,768	2,715,768
36 Share premium / (discount)	-	-	-	-
37 Revaluation reserves	528,656	275,528	529,956	281,247
38 Retained earnings / (accumulated losses)	35,072,273	35,990,855	35,884,474	37,095,138
39 Statutory loan loss reserve	-	-	-	-
40 Other reserves	188,364	208,881	188,364	208,881
41 Proposed dividend	4,888,382	4,888,382	4,888,382	4,888,382
42 Capital grants	-	-	-	-
43 Total shareholders' funds	**43,393,443**	**44,079,414**	**44,206,944**	**45,189,416**
44 Minority interest	-	-	-	-
45 Total liabilities and total shareholders funds	**325,362,737**	**374,109,200**	**324,839,666**	**373,981,791**
II Statement of comprehensive income				
1.0 Interest income				
1.1 Loans and advances to customers	21,527,991	22,544,646	21,527,991	22,544,646
1.2 Government securities	7,372,947	8,065,268	7,382,300	8,101,769
1.3 Deposits and placements with banking institutions	151,002	377,506	151,002	377,506
1.4 Other interest income	-	-	-	-
1.5 Total interest income	**29,051,940**	**30,987,420**	**29,061,293**	**31,023,921**
2.0 Interest expense				
2.1 Customer deposits	6,126,393	6,466,845	6,126,393	6,454,616
2.2 Deposits and placements with banking institutions	965,455	1,255,049	942,489	1,252,044
2.3 Other interest expenses	-	138,722	-	138,722
2.4 Total interest expenses	**7,091,848**	**7,860,616**	**7,068,882**	**7,845,382**
3.0 Net interest income	**21,960,092**	**23,126,804**	**21,992,411**	**23,178,539**
4.0 Non-interest income				
4.1 Fees and commissions income on loans & advances	1,052,491	1,410,349	1,052,491	1,410,349
4.2 Other fees and commissions	4,051,940	4,125,135	4,572,316	4,710,388
4.3 Foreign exchange trading income	3,279,548	3,640,577	3,279,548	3,640,577
4.4 Dividend income	-	-	-	-
4.5 Other income	797,715	841,964	797,715	826,998
4.6 Total non-interest income	**9,181,694**	**10,018,025**	**9,702,070**	**10,588,312**
5.0 Total operating income	**31,141,786**	**33,144,829**	**31,694,481**	**33,766,851**
6.0 Operating expenses				
6.1 Loan loss provision	3,870,757	4,199,411	3,870,757	4,200,588
6.2 Staff costs	9,647,106	9,999,145	9,768,076	10,158,447
6.3 Directors emoluments	147,115	172,623	152,761	178,783
6.4 Rental charge	1,137,573	92,887	1,150,784	93,371
6.5 Depreciation on property and equipment	792,031	1,069,667	792,031	1,069,728
6.6 Amortisation charges	407,066	391,749	407,066	392,501
6.7 Other operating expenses	4,890,066	5,361,875	4,907,275	5,392,198
6.8 Total operating expenses	**20,891,714**	**21,287,357**	**21,048,750**	**21,485,616**
7.0 Profit before tax and exceptional items	**10,250,072**	**11,857,472**	**10,645,731**	**12,281,235**
8.0 Exceptional items	-	1,528,986	-	1,528,986
9.0 Profit after exceptional items	**10,250,072**	**10,328,485**	**10,645,731**	**10,752,249**
10 Current tax	(3,810,433)	(3,884,767)	(3,942,754)	(4,021,267)
11 Deferred tax	704,485	717,727	713,065	725,095
12 Profit after tax and exceptional items	**7,144,124**	**7,161,445**	**7,416,042**	**7,456,077**
13 Other comprehensive income				
13.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-
13.2 Fair value changes in financial assets at FVOCI	395,889	(361,612)	398,184	(355,299)
13.3 Revaluation surplus on property, plant and equipment	-	-	-	-
13.4 Share of other comprehensive income of associates	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	(118,766)	108,484	(119,455)	106,590
14 Other comprehensive income for the year net of tax	**277,123**	**(253,128)**	**278,729**	**(248,709)**
15 Total comprehensive income for the year	**7,421,247**	**6,908,317**	**7,694,771**	**7,207,368**
Earnings per share (Shs)	**1.32**	**1.32**	**1.37**	**1.37**
Dividends per share (Shs)	**1.10**	**1.10**	**1.10**	**1.10**

	December 2018 Shs '000' Audited	December 2019 Shs '000' Audited
III Other disclosures		
1 Non-performing loans and advances		
a) Gross non-performing loans and advances	13,910,314	13,518,692
b) Less: Interest in suspense	3,086,729	2,601,418
c) Total non-performing loans and advances	**10,823,585**	**10,917,274**
d) Less: loan loss provisions	6,543,088	7,807,800
e) Net non-performing loans (c-d)	**4,280,497**	**3,109,474**
f) Discounted value of securities	1,497,300	1,981,629
g) Net NPLs (excess) / exposure (e-f)	**2,783,197**	**1,127,845**
2) Insider loans and advances		
a) Directors, shareholders and associates	40,764	39,330
b) Employees	10,652,129	10,340,168
c) Total insider loans and advances	**10,692,893**	**10,379,498**
3) Off Balance sheet items		
a) Letters of credit, guarantees and acceptances	28,371,577	23,208,133
b) Forwards, swaps and options	69,777,052	103,646,010
c) Other contingent liabilities	-	-
d) Total contingent liabilities	**98,148,629**	**126,854,143**
4) Capital strength		
a) Core capital	37,788,041	38,706,623
b) Minimum statutory capital	1,000,000	1,000,000
c) Excess / (Deficiency)	**36,788,041**	**37,706,623**
d) Supplementary capital	5,092,278	7,601,251
e) Total capital	**42,880,319**	**46,307,874**
f) Total risk weighted assets	261,752,219	277,812,947
g) Core capital / total deposit liabilities	18.2%	16.3%
h) Minimum statutory ratio	8.0%	8.0%
i) Excess / (deficiency)	**10.2%**	**8.3%**
j) Core capital / total risk weighted assets	14.4%	13.9%
k) Minimum statutory ratio	10.5%	10.5%
l) Excess / (deficiency)	**3.9%**	**3.4%**
m) Total capital / total risk weighted assets	16.4%	16.6%
n) Minimum statutory ratio	14.5%	14.5%
o) Excess / (deficiency)	**1.9%**	**2.1%**
p) Adjusted core capital/total deposit liabilities*	18.6%	16.8%
q) Adjusted core capital/total risk weighted assets*	14.7%	14.3%
r) Adjusted total capital/Total risk weighted assets*	16.7%	17.0%
5) Liquidity		
a) Liquidity ratio	35.7%	39.8%
b) Minimum statutory ratio	20.0%	20.0%
c) Excess / (deficiency)	**15.7%**	**19.8%**

Message from the directors:

The separation from Barclays PLC continues to have an impact on our financial results. This includes a substantial change spend, as we invest in the systems required to be separated, the Transitional Service Agreement costs we paid to Barclays PLC for the provision of various services during the separation period together with the costs incurred for branding. In this period, we have reported separation costs of Shs 1.5 billion; this is reported as an exceptional item in the financial statements.

We are pleased with our financial outcomes, which are a validation that our strategy is working.

- Excluding the one off exceptional item of Shs 1.5 billion related to the transition expenses, our Normalised PAT is Shs 8.5 billion or 15% up from 2018.
- Pre provision profit is Shs 16.5 billion; 14% growth from 2018.
- Normalised Return on Equity (ROE) is 18.4% an improvement from 16.8% in 2018 while normalized cost to income ratio is 51%
- Total assets have grown by 15% and customer deposits by 15%.
- Since 2018 to end of 2019, our stock price out performed all key indices at 39% growth.

The Directors note that an interim dividend of Shs 0.20 per ordinary share of the company was paid on October 11 2019. As such, subject to the approval of the shareholders, the directors have resolved to recommend to members at the forthcoming Annual General Meeting a final dividend for the year of Shs 0.90 per ordinary share of the company. The Capital Markets Authority (CMA) advised in a press statement dated 18 March 2020 that AGMs scheduled for March, April and May 2020 be deferred to a later date. In view of this, the date of the AGM will be advised later.

The above consolidated statement of comprehensive income and statement of financial position are extracts of the Group and Bank's financial statements which have been audited by Ernst & Young LLP and can be accessed on the institution's website **www.absabank.co.ke.**

They may also be accessed at the institution's Head office at Absa Bank Headquarters, Waiyaki Way.

They were approved by the Board of Directors on Monday 23 March 2020 and signed on its behalf by:

Charles Muchene	Jeremy Awori	Yusuf Omari	Loise Gakumo
Chairman	**Managing Director**	**Chief Financial Officer**	**Company Secretary**

On 10 February 2020, Barclays Bank Kenya Limited changed its name to Absa Bank Kenya PLC. Absa Bank Kenya PLC is regulated by the Central Bank of Kenya.